

line) is at 25.78. Subtract the difference (2.94) from the valley's low (25.78) to get a target of 22.84. Price passed the target on the way down to C.

The lower portion of the table shows how often price reaches targets based on various heights. The full height target, as used in the above example, reaches its target just over half the time. You may wish to cut the height in half to boost the success rate to 79%, but know you're also cutting potential profit (because the target will be closer).

Once you know how far price might decline, you can check your work using [Table 31.3](#). For example, the decline (above) of 2.94 in a stock trading at 25.78 (the breakout price or use the current price) is 11%. [Table 31.3](#) says that 43% of the stocks will fail to drop more than 10%. Will a 43% failure rate persuade you to look elsewhere?